which are established in urban areas for looking after local affairs, such as, sanitation, public health, local roads, lighting, water supply, cleaning of streets, maintenance of parks and gardens, maintenance of hospitals, dispensaries and veterinary hospitals, provision of drainage, provision of primary education, organising of fairs and exhibitions etc. However, all these functions are performed subject to the control of the state government.

**Sources of revenue of municipalities**

(i) taxes on property

(ii) taxes on goods, particularly octroi and terminal tax

(iii) personal taxes, taxes on profession, trades and employment

(iv) taxes on vehicles and animals

(v) theatre or show tax, and

(vi) grants-in-aid from state government.

### 4. Municipal Corporations




**Establishment and Functions:**

The municipal corporations have wide powers and enjoy greater freedom as compared to municipalities. The municipal corporations are usually entrusted with the functions, such as, water supply and drainage, lighting, roads, slum clearance, housing and town planning etc. The rapid increase in the population of cities has definitely added to the functions of municipal corporations.

**Sources of revenue of Corporations**

(i) tax on property,

(ii) tax on vehicles and animals,

(iii) tax on trades, calling and employment,

(iv) theatre and show tax,

(v) taxes on goods brought into the cities for sale,

(vi) taxes on advertisements,

(vii) octroi and terminal tax etc.

The corporations have a fair degree of freedom in respect of their choice and modification of these taxes, subject to the maximum and minimum rates laid down by the law.

## 9.15 Fiscal policy

As an instrument of macro-economic policy, fiscal policy has been very popular among modern governments. The growing importance of fiscal policy was due to the Great Depression and the development of 'New Economics' by Keynes.

### 9.15.1. Meaning of Fiscal Policy

In common parlance fiscal policy means the budgetary manipulations affecting the macro economic variables – output, employment, saving, investment etc.



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